Elevate MRO-Salt Lake City
FAA CRS K5SR339N

ELEVATE MRO
—AN ELEVATE AVIATION GROUP COMPANY—

Date: 11/23/2024		
Aircraft Make & Model: HONDAJET HA-420		Serial No.: 4200087
Registration: N87HJ	Airframe Hours: 926.3	Airframe Cycles: 647

Billing Information

Owner/Operator Name: AVIATION INDUSTRIES LLC	Contact Name (if different): Brad ~~DREIBELBIS~~ Martin
Address: 3500 N HULLEN	Phone: 847-909-5675
City/State/Postal Code: AURORA, Illinois, 60506	Email: brad@cohsi.com ~~john@gmhatlaw.com~~

Service Requested
(check all that apply)

Required Support	Operating Certificate	Maintenance Tracking Program	
AOG X	Part 91 X	CAMP X	AAIP ☐
Maintenance ☐	Part 121 ☐	FlightDocs ☐	
Avionics ☐	Part 135 ☐	Other:	

Special RTS or RII required?	Maintenance or Parts Warranty Program		
Yes ☐	JSSI ☐	HACI P2 X	HACI P3 ☐
No X	SmartParts ☐	GE EMC2 X	Other: Enter Below

Description of work to be performed:

ACFS Fault Message
R&L Engine TLD Message

Aircraft N87HJ is AOG in Eagle, CO (KEGE)

Payment Information
If payment by ACH or Wire is preferred, please provide wiring instructions.

Credit Card Type	Number	Expiration Date:	CVC No.
Visa	4246-3153-~~6304~~ 9668 ~~21~~ 0421	2/29	291

Billing Address	City	State	Postal Code
410 Rathvone Ave	Aurora	IL	60506

Work Authorization Agreement Terms & Conditions

I. Price Quote Variables

I.1 This quote was generated using the most current manufacturers' maintenance manual documentation, service bulletins and/or Airworthiness Directives available at the time the quote is generated. Technical data revisions published after the quote date may require additional labor and/or materials and result in additional charges and/or downtime.

I.2 Shop Rates: Current shop labor rates are posted as follows and remain in place for the duration of the quote: $159.00 per hour during standard working hours; approved overtime rates are $238.50 per hour; holiday labor rate is $318.00 per hour. If travel is required, the applicable labor rate, plus per diem (company policy day rate), and all directly associated travel costs (including a 5% markup) are applied as additional charges. Written customer approval is required for travel and overtime fees prior to commencement of travel or overtime work.

I.3 Parts: Parts included in quotes under $100,000.00 include a 20% markup from cost; parts $100,00 or higher receive a 10% markup from cost. Customer provided parts receive a 15% markup based on purchase price to cover receiving inspection, processing, and Repair Station coverage.

I.4 Materials: Pricing of is subject to change depending on supplier price escalations. The customer will be notified in writing of any parts or materials changes following approval of the quote or commencement of work.

I.5 Hazmat & Consumables: Shop supplies, common hardware, and hazardous material management are included as a separate fee based on the total labor applied to the work scope not to exceed a total of $2,500 per work order.

I.6 Third Party Vendors: Any estimates given for parts, materials, or services provided to Elevate MRO by outside vendors, whether for test, calibration, repair, overhaul, exchange, etc. are subject to adjustment based upon the actual charges billed by such outside entity. This may include additional post-delivery bill-back charges on returned core components.

I.7 Aircraft Storage: Unless otherwise agreed, aircraft stored in the Elevate MRO maintenance hangars more than 24 hours prior to an induction date, or more than 24 hours following return to service, will be billed a daily hangar fee based on the aircraft footprint. Long-term hangar storage will be applied to any aircraft stored in a maintenance hangar not actively in work under the Repair Station at a monthly rate based on aircraft footprint, prorated for any partial month. Ramp storage fees may be incurred by the local FBO and billed separately to the customer.

I.8 Supplemental services including aircraft cleaning and detailing, cabin stocking, etc. can be arranged and quoted. Additionally, Elevate Aviation Group offers a fully comprehensive line of supporting services, including aircraft management, maintenance management programs, highly personalized charter services, aircraft brokerage, administrative services, and more. Please let us know how we can best service you and we will promptly engage to meet any request.

II. Payment Terms

II.1 Payment in full is due upon completion of work and prior to final delivery to the Customer.

II.2 Scheduling Deposits:

(i) Quotes less than $250,000 require a 50% scheduling deposit (of the accepted amounts) and is due within 10 days of proposal acceptance. This deposit secures the customer's position in the production schedule and initiates parts orders to ensure timely arrival for commencement of the project.

(ii) Quotes equal to or exceeding $250,000 require a 30% scheduling deposit (of the accepted amounts) and is due within 10 days of proposal acceptance and are followed by progress payments as described below in 2.3. As above, this secures the customer's position and commences with parts orders.

(iii) Due to shop loading, customer commitments and work flow impact, scheduling changes <u>made</u> within 7-days of <u>scheduled</u> arrival may incur additional fees in the form of overtime charges for early arrivals and commencement, or <u>delay</u> fees for late arrivals.

(iv) Elevate MRO may retain the scheduling deposit as liquidated damages if the customer cancels or significantly changes the scope or schedule of the project.

II.3 Progress Payments. Projects exceeding 6-8 weeks downtime are subject to progress payments of remaining balance at project midpoint or every 4 weeks as applicable.

II.4 Payment Methods. Standard payment methods include approved check, wire transfer or Automated Clearing House (ACH). Credit cards may be used but incur a 5% processing fee based on the fees incurred by the credit card processing company.

II.5 Past due amounts bear interest at the lesser of 1.5% per month, or the maximum rate allowable by law, plus reimbursement for attorney fees and other costs of collection.

II.6 Customer is responsible for and shall timely pay all taxes, charges, imposts or duties associated with the work other than taxes on the income of Elevate MRO. Customer shall indemnify and hold Elevate MRO harmless from and against any and all such amounts. If Customer is required to withhold any related amount from a payment to Elevate MRO, the invoice total will be revised to reflect the withheld amount and shall automatically increase so Elevate MRO receives the amount it would have received without said withholding.

III. Downtime

III.1 Elevate MRO estimates a downtime of _____ working days from the work start date. Work is scheduled to commence at Elevate MRO _____ on _____, with an estimated return to service on _____. Arriving late in the day for work start or early departures at work completion may impact the overall schedule.

Note: The estimated downtime is for the quoted work scope only. Following commencement of the originally quoted work scope, the final delivery date may be adjusted based on inspection findings, parts requirements, unscheduled maintenance items noted during inspections, or other items that preclude a safe and legal return to service.

IV. Disclaimers

IV.1 WARRANTY/EXCLUSIVE REMEDY. Elevate MRO's sole obligation for the work hereunder (excluding inspection activity), and Customer's sole remedy, is limited to the repair, replacement, or correction of defective work. Elevate MRO makes no warranty nor commitment to repair or replace any parts or work supplied by or on behalf of the Customer by third parties. With regard to claims of negligent or defective inspection activities, Elevate MRO's sole obligation, and Customer's sole remedy, shall be limited to refund of any payments made by Customer for the applicable inspection.

IV.2 THE EXCLUSIVE REMEDIES IN SECTION 4.1 ARE IN LIEU OF ALL OTHER REMEDIES OR WARRANTIES AND REPRESENTATIONS, EXPRESS, IMPLIED, OR STATUTORY, INCLUDING WITHOUT LIMITATION IMPLIED WARRANTIES OF MERCHANTABILITY AND FITNESS (INCLUDING FITNESS FOR A PARTICULAR PURPOSE) (COLLECTIVELY "EXCLUDED WARRANTIES"). Except as expressly set forth in this Agreement, Customer, on behalf of itself and all owners, operators, lessors, lessees, and insurers of the Aircraft, hereby waives and releases all rights, claims, and remedies (through subrogation or otherwise) with respect to any and all Excluded Warranties, duties, obligations, and liabilities in tort or contract arising by law or otherwise from this Agreement, including: (1) liability for Elevate MRO's own negligence or (2) strict liability or product liability.

IV.3 UNDER NO CIRCUMSTANCES SHALL ELEVATE MRO BE LIABLE FOR INDIRECT, INCIDENTAL, CONSEQUENTIAL, SPECIAL, OR EXEMPLARY DAMAGES, IN CONNECTION WITH THIS AGREEMENT, WHETHER IN CONTRACT OR TORT (INCLUDING STRICT LIABILITY AND NEGLIGENCE) SUCH AS BUT NOT LIMITED TO LOSS OF REVENUE, LOSS OF USE, OR ANTICIPATED PROFITS.

IV.4 INCIDENTAL CUSTOMER PROPERTY. Elevate MRO assumes no responsibility or liability for any Incidental Customer Property brought or delivered to Elevate MRO's premises by Customer, whether on the Aircraft or otherwise. "Incidental Customer Property" is any item associated with the Aircraft, its crew, representatives of the Customer, or its passengers, that is not a part of the Aircraft or directly related to its operation, such as loose aircraft or cabin equipment, typical catering supplies, or the like. Elevate MRO reserves the right to decline to store any Incidental Customer Property on its premises which it deems, in its sole discretion, inappropriate or dangerous. The Customer hereby agrees to defend, indemnify, and hold Elevate MRO harmless from any and all claims arising out of Incidental Customer Property brought or delivered to Elevate MRO's facilities, including losses

incurred because of damage or theft, improper shipping or receiving, together with any criminal or civil penalties or other duties, imposts, taxes, liens or other obligation imposed by any governmental entity resulting from the presence of Incidental Customer Property on Elevate MRO's facilities. No bailment is created by this Agreement, and Elevate MRO shall not act as insurer of the Aircraft or any Incidental Customer Property.

IV.5 Delay. Elevate MRO will use reasonable efforts to complete the work in a timely manner. Reasonable efforts does not include overtime unless the Customer agrees to bear overtime charges. Notwithstanding such obligation, Elevate MRO shall not under any circumstances be liable for damages, late delivery penalty, fee or the like should it fail to perform the work within any period of time specified by the Parties.

V. Indemnification

V.1 Customer agrees to indemnify and hold harmless Elevate MRO from and against any and all liability, damage, loss, cost and expense, including attorney's fees, on account of any claim, suit or action made or brought against Elevate MRO for the death of or injury to employees, agents, representatives and subcontractors of Customer, or damage or destruction of property of Customer, its employees, agents, representatives or subcontractors, sustained arising from or related to Customer's presence on Elevate MRO's facilities during the course of the Agreement.

VI. Miscellaneous

VI.1 Elevate MRO shall not be liable for any failure of performance hereunder attributable to acts, events or causes beyond its reasonable control including, but not limited to, war, riot, terrorism, civil disturbances, epidemic, pandemic, power failures, failure of telecommunication lines and equipment, flood, storm, fire and earthquake or other acts of God or conditions or events of nature, or any law, order, proclamation, regulation, ordinance, demand or requirement of any governmental authority.

VI.2 This Agreement may be amended, and the observance of any term may be waived, only with the written consent of Elevate MRO and Customer. Any waiver by a party of any provision of this Agreement will not be construed as a waiver of any other provision of this Agreement, nor will such waiver be construed as a waiver of such provision with respect to any future event.

VI.3 If any provision of this Agreement will, for any reason, be deemed unenforceable or in violation of law, such unenforceability or violation will not affect the remaining provisions of this Agreement, which will continue in full force and effect and be binding upon the Parties.

VI.4 This Agreement shall be governed by and construed in accordance with the laws of the State of Utah without regards to its conflict of laws rules. Each Party consents to the exclusive jurisdiction of the Courts located in the State of Utah for the enforcement or resolution of any controversy related to this Agreement.

VI.5 This Agreement may be executed digitally and in counterparts (including by electronic transmission), each of which will be deemed an original and all of which together will constitute one instrument.

WITNESS the following authorized signatures:

Elevate MRO:	Customer:
Keystone Aviation LLC dba Elevate MRO	Brad Martin
By:	By:
Name: Sam Perez	Name:
Title: General Manager	Title: Owner

Production Control: Work Order Closing and Billing EMRO-PROD XX (Rev 1.0 - Aug 2024)

ELEVATE MRO
—AN ELEVATE AVIATION GROUP COMPANY—

Start → Perform WO review → Expand all squawks and Inspect each squawk for following items:

Labor

1. Check labor drop down for:
   a. Open Labor
   b. Missing Labor
   c. Excessive Labor
   d. Compare labor to quoted labor.
2. When issues are found contact the individuals responsible foe context and answers.
3. Adjust labor times as required for accuracy only.
4. Verify labor is billed correctly (flat rate or time and materials)
5. If required adjust flat rate or customer credit to reflect correctly on invoice final customer cost for this squawk.
6. If a credit is issued or a discount is issued then make sure to add it with (INSERT PROCESS) and note it in the comments section of the WO.

Parts

1. Check for missing parts.
2. Check for incorrectly applied parts.
   a. Red ball items (Demand not issued)
   b. Yellow ball items (Parts not received)
   c. Green Yellow (Parts not applied to WO)
   d. Green parts (correct part is applied.
3. Check pricing
   a. If price is zero check if it should be free of charge (FOC) or if the pricing is missing.
4. Correct items through shipping and receiving process.
5. Find, label, and store, every 8130-3 or CofC in aircraft binder. If 8130-3 is missing and should be available for that item then interview the team and parts department or email chain for that specific part. Obtain 8130-3 label and file in WO binder.
6. If a carry over item is found please transfer the squawk and parts demand to a new work order using the Maintenance deferral process .

Services

1. Check for missing services.
2. Check for incorrectly applied services.
   a. Red ball items (Demand not issued)
   b. Yellow ball items (Parts not received)
   c. Green Yellow (Parts not applied to WO)
   d. Green parts (correct part is applied.
3. Correct problems.
4. If services has a associated receipt or airworthiness statement verify its presence in the WO binder.
5. If a carry over item is found please transfer the squawk and parts demand to a new work order using the Maintenance deferral process .

Misc Charges

1. Check for missing MISC charges. (this is commonly towing fees, fueling fees, ECT...)
2. Check for incorrectly applied MISC charges. either missing pricing or have excessive pricing.
   a. Correct problems.
3. If MISC charge has a associated receipt or airworthiness statement verify its presence in the WO binder.

Sign off

1. Check: Signoff language is accurate.
2. Logbook entry language is correct.
3. Check: All Squawks are signed off. (performing Technician, Inspector, and RII when required)
4. Sign offs that are retroactively applied are communicated to performing technician in writing. Email is preferred

Mark squawk fully completed. → Repeat until all squawks are complete. → Billing

Billing

1. Default Customer --> General: Check for correct customer
2. Default Customer --> Address: Verify Address is present and correct.
3. Default Customer --> Payment: Select correct payment type.
   a. If credit card is used for payment then add a credit card fee (administration fee) in [Default Customer --> Fees --> Add administration fee from the drop down (it's a 3% total fee).
   b. Add payment terms (due of Receipt)
4. If required Add discount if needed Default Customer --> Discount: then add a comment in WO comments explaining why the discount was made to the customer. This will print on the invoice.
5. Default Customer --> Tax, verify correct location.
6. Performing Facility : Verify correct location.
7. Verify billing rate for WO is correct
8. Select type of payment (Credit Card, wire (ACH)
   a. If ACH wire add comments into the WO comments section the wire details (this will print on the invoice)
   b.

Send final invoice to customer via email. Default Customer ---> Billing ---> print invoice. Then save the file outside of RDP to the desktop through remote print and email. Inform the customer payment will be processed

Close work order (ensure end date reflects when work was fully completed it it is not today)

Process payment through Repay (online portal.

Send payment Receipt to customer.

Close work order (ensure end date reflects when work was fully completed it it is not today)

Update miro board to reflect billing compete for this WO.

Do not post to accounting. This must be done by the production administrator only. THis cannot be undone once it syncs to our accounting software.

End

Warranty billing.

If claim is denied, appealed and then denied again charge is passed to customer.

make a flow for customers who are on account